

AIAENG

Earnings Call Transcript • Feb 2026



FINANCIAL PERFORMANCE`.

- * ***Company:** AIA Engineering Limited.
- * ***Date:** January 30, 2026 (Call date).
- * ***Period:** Q3 (ended Dec 31, 2025) and 9-month period.
- * ***Financials (Q3):**
 - * Production: 67,896 tons.
 - * Sales: 64,500 tons.
 - * Operating Revenue: INR 1,066 crores.
 - * Total Income (including non-operating): INR 1,200 crores.
 - * Reported EBITDA: INR 425 crores (~40% margin).
 - * Operating EBITDA: ~28% (after knocking off non-operating income).
 - * PAT: INR 294 crores (after minority interest).
 - * Other Income: INR 135 crores (FX gain: INR 50 cr, Export benefit: INR 18 cr, Treasury income: INR 83 cr).
- * ***Financials (9-month):**
 - * Production/Sales: ~187,000 tons.
 - * Operating Revenue: INR 3,153 crores.
 - * Total Income: INR 3,495 crores.
 - * EBITDA: INR 1,241 crores.
 - * PAT: INR 876 crores.
- * ***Cash/Debt:** Cash levels around INR 4,200 crores.
- * ***Capacity/Capex:**
 - * Closed Welcast Steels (Bangalore) plant: 24,000 tons capacity removed.
 - * Total capacity reduced from 460,000 tons to 436,000 tons (314k grinding media, 120k castings).
 - * Current run rate: 250,000 to 260,000 tons (operating below full capacity).
 - * FY26 Capex guidance: INR 180 crores (INR 105 cr done, ~INR 75 cr remaining for Q4).
 - * Q4 Capex breakdown: INR 30 cr for solar hybrid, INR 50-55 cr other.
 - * International: Ghana (land procured, awaiting clearances, 1.5 years to setup); China (lab set up, 1.5-2 years to setup).
- * ***Growth Drivers/Strategy:**
 - * Focus on "Conversion Opportunity" (Forged $\rightarrow$ High Chrome).
 - * Targeting Gold, Copper, Iron.
 - * "Package Solution": Unique liner + High chrome grinding media.
 - * Copper structural bull run (grade depletion $\rightarrow$ need for higher throughput).
 - * South America: First chrome customer in mining space. Chile order started (18-month duration).
 - * India Mining: ~18,000 tons in 9 months.
- * ***Risks/Concerns:**
 - * Geopolitical uncertainty, shipping lane fragility (Iran/SE), container availability, shipping costs.
 - * Protectionism/Duties (lost 75k-80k tons of volume over 5-7 years due to duties in South Africa, Canada, Brazil).
 - * Customer conservatism in trying new solutions.
 - * US tariffs (punishing, but customers currently paying).
- * ***Analyst Q&A:**
 - * Mining volumes in India: ~5,000 tons in Q3, ~18,000 tons in 9 months.
 - * Mill liner capacity utilization: ~50% (9-month).
 - * Overall capacity utilization: 60-65%.
 - * Forex: Transactional currency is USD. Pass-through mechanism.
 - * EU FTA: Neutral.

* ***Financial Performance Table:** *

- * Revenue (Q3): 1,066 cr.
- * PAT (Q3): 294 cr.
- * EBITDA Margin (Q3): 40% (Reported) / 28% (Operating).
- * Cash: 4,200 cr.

* (YoY/QoQ not possible as prior period figures aren't explicitly given in the transcript, only "at par" or "similar" mentions)

* *Key Highlights:*

- * Welcast Steels closure (capacity reduction).
- * Shift to "Package Solution" (Liners + Media).
- * Chilean order commencement.
- * Cash position.

* *Growth Drivers:*

- * Copper structural bull run (grade depletion).
- * Conversion from forged to high chrome.
- * South American market penetration.

* *Guidance:*

- * FY26 Capex: 180 cr.
- * Ghana/China timeline: 1.5 - 2 years.
- * Volume guidance: Management refused to give specific volume guidance due to lack of clear signaling from customers.

* *Capex/Expansion:*

- * Solar hybrid (Q4).
- * Ghana/China plants.
- * Capacity utilization (60-65% overall, 50% for mill liners).

* *Risks:*

- * Protectionism (80k tons lost).
- * Shipping volatility.
- * US Tariffs.

* *Q&A:*

- * India mining volumes.
- * Forex impact.
- * Mill liner competitors (Elecmetal, Bradken, Metso).
- * Chile order nature.

* *Tone:*

 Cautiously Bullish. Management is confident in the "structural" need for their product (copper) but honest about the "fra

* *Check:*

 Did I use only transcript info? Yes.

* *Check:*

 Exact figures? Yes.

* *Check:*

 No hallucinations? Yes.

* *Check:*

 Format correct? Yes.

* *Check:*

 No conversational filler? Yes.

* *Check:*

 Detailed bullets? Yes.

 FINANCIAL PERFORMANCE

Metric	Figure	YoY	QoQ
Operating Revenue (Q3)	INR 1,066 crores	Not discussed	Not discussed
Total Income (Q3)	INR 1,200 crores	Not discussed	Not discussed
PAT (Q3)	INR 294 crores	Not discussed	Not discussed
Reported EBITDA (Q3)	INR 425 crores	Not discussed	Not discussed
Reported EBITDA Margin (Q3)	~40%	Not discussed	Not discussed
Operating EBITDA Margin (Q3)	~28%	Not discussed	Not discussed

Metric	Figure	YoY	QoQ
Operating Revenue (9M)	INR 3,153 crores	Not discussed	Not discussed
Total Income (9M)	INR 3,495 crores	Not discussed	Not discussed
EBITDA (9M)	INR 1,241 crores	Not discussed	Not discussed
PAT (9M)	INR 876 crores	Not discussed	Not discussed
Cash Balance	~INR 4,200 crores	Not discussed	Not discussed
Other Income (Q3)	INR 135 crores	Marked Increase	Not discussed

Note: YoY and QoQ percentages were not calculated as comparable prior period figures were not explicitly provided in the transcript.

KEY HIGHLIGHTS

- **Capacity Rationalization:** The company closed its subsidiary plant, Welcast Steels in Bangalore, resulting in a capacity reduction of 24,000 tons. Total capacity has been revised from 460,000 tons to 436,000 tons (comprising 314,000 tons of grinding media and 120,000 tons of castings).
- **Operational Volume:** For Q3, production stood at 67,896 tons and sales at 64,500 tons. For the 9-month period, both production and sales were approximately 187,000 tons. Management noted that these volumes are "at par" with the corresponding periods last year.
- **Other Income Composition:** Q3 other income of INR 135 crores was driven by a foreign exchange gain of INR 50 crores (attributed to the Rupee moving beyond INR 90), treasury income of INR 83 crores, and export benefits of INR 18 crores.
- **Strategic Pivot to "Package Solutions":** Management is shifting from selling standalone grinding media to a combined "solution package" consisting of unique liners and high-chrome grinding media. The goal is to provide disproportionate value by improving throughput and reducing power and consumable costs for miners.
- **Market Penetration in South America:** The company announced its first chrome customer in the mining space in South America and has commenced supplies to a customer in Chile, with the order spanning over 18 months.

GROWTH DRIVERS

- **Copper Structural Bull Run:** Management highlighted a critical global shortage of copper. They noted that the amount of copper mined in all of human history (700 million tons) will be required in the next 18-20 years to maintain a 3% growth rate, exacerbated by data center and renewable energy demand.
- **Conversion Opportunity:** The primary growth lever is converting customers from forged grinding media to high-chrome based solutions. The addressable market for this conversion is estimated at 1.5 to 2 million tons, with current high-chrome penetration at only 25%–35%.
- **Throughput Optimization:** AIA is targeting mines with depleting ore grades. Their value proposition is to improve grinding and crushing efficiency (throughput) without requiring major capex from the customer, allowing mines to maintain output despite lower ore quality.
- **International Expansion:** The company is aggressively targeting large markets in Latin America (specifically copper and gold), Australia, Africa, and CIS regions.

MANAGEMENT GUIDANCE & OUTLOOK

- **Capex Guidance:** For FY26, the company guided for total capex of approximately INR 180 crores. As of the call, INR 105 crores has been spent, with the remaining ~INR 75 crores expected in Q4 (including INR 30 crores for solar hybrid capacity and INR 50-55 crores for other requirements).
- **Volume Guidance:** Management explicitly declined to provide specific volume guidance. They cited a lack of "clear signaling" from customers regarding the transition from proof-of-concept/trials to full commercial engagement.
- **Operational Outlook:** Management described the current period as one of "tremendous instability" and "uncertainty," suggesting a conservative approach to consolidate and survive geopolitical turbulence.

- **International Plants:**
 - **Ghana:** Land has been procured and site development is complete. Awaiting government clearances (expected in Q4). The plant is expected to be in place within 1.5 years.
 - **China:** A small lab has been established; the company is currently evaluating and finalizing plant locations. Expected timeline for completion is 1.5 to 2 years.
- **Capacity Utilization:**
 - Overall capacity utilization is currently between 60% and 65%.
 - Mill liner capacity utilization for the 9-month period is approximately 50%.
- **Order Book/Pipeline:** Management mentioned that trials for new solution packages are progressing positively, though they are taking longer than expected due to technical complexities. At least one large mine trial is expected to yield results in the next 2-3 months, and a second mine in 4-5 months.

RISKS, CONCERNS & RED FLAGS

- **Protectionism and Duties:** The company has lost approximately 75,000 to 80,000 tons of volume over the last 5-7 years due to protective duties in markets like South Africa, Canada, and Brazil. Management stated they have stopped speculating on the recovery of these volumes as duty structures are likely to remain.
- **Geopolitical and Logistics Risks:** Fragile shipping lanes (specifically mentioning Iran and Southeast Asia) pose risks to container availability, shipping timelines, and cost volatility.
- **US Tariffs:** Management acknowledged "punishing" duties in the US. While customers are currently absorbing these costs, the long-term impact remains uncertain.
- **Customer Conservatism:** There is significant resistance from mining customers to change existing processes (e.g., moving from forged to chrome media) due to the perceived risk of equipment or process failure.

ANALYST Q&A KEY TAKEAWAYS

- **Domestic Mining Contribution:** In response to queries about Hindustan Copper, management clarified that Indian mining volumes are relatively small, contributing about 5,000 tons in Q3 and 18,000 tons over the 9-month period. Their primary growth focus remains international markets.
- **Forex Impact:** Management explained that USD is their transactional currency. While they benefit from a lead-lag effect during Rupee depreciation, they view currency as a "pass-through" to remain competitive rather than a primary driver of margin expansion.
- **Mill Liner Competition:** The company identifies four main incumbents in the mill liner business: Elecmetal, Bradken, Metso (OEM), and a company from Indonesia. AIA aims to differentiate through proprietary design rather than just metallurgy.
- **Welcast Steels Closure:** Management confirmed the Bangalore plant was closed because it was an old facility and capacity had already been created in Ahmedabad. There are no plans to reopen it.

OVERALL TONE & CREDIBILITY

- Overall tone: **Cautiously Bullish**
- **Justification:** Management is fundamentally bullish on the structural demand for their products, particularly driven by the "copper crisis" and the inefficiency of forged media. However, they are realistically cautious (and perhaps intentionally vague) regarding timelines and volume guidance, citing geopolitical instability and the slow nature of mining trials. Credibility is bolstered by their transparency regarding the loss of 80k tons of volume to duties and the closure of the Welcast plant, showing a willingness to admit failures/setbacks rather than spinning them. However, the lack of concrete volume guidance despite "positive" trials suggests a high degree of execution risk in the conversion strategy.